TAKE NOTES CAPITAL

FREE GUIDE, NOTE-AWARE INVESTORS

The 60-Second Tape Filter

KILL DIG BID

You're staring at a tape with 200 line items. Half are garbage. A few are gold. This filter tells you which is which, in under a minute per deal.

Stop bleeding time on dead deals.

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THE PROBLEM

The Tape Isn't the Problem. Your Time Is.

Finding good note deals isn't the hard part. The hard part is not spending three hours on a deal that should have been eliminated in 60 seconds. Every minute you spend on a dead file is a minute you're not spending on a live one.

> This filter runs in a specific order for a reason. The early checks are fast and binary, yes or no, kill or keep. The later checks build a picture. By the time you finish, you know exactly which bucket the deal belongs in: **KILL** (skip it), **DIG** (worth full due diligence), or **BID** (you already love it, run full DD now).

STEP 1, THE INSTANT KILLS

5 Reasons to Move On Without Thinking

If you see any of these, close the line item. No exceptions, no "but maybes." Your time is worth more than the hope that a broken deal gets fixed.

KILL 1

Unsecured Loan

The borrower no longer owns the property. There's no collateral behind the note, just an IOU backed by a promise. Unless you're buying at under 1% of UPB for a debt collection play, this is a skip.

HOW TO SPOT IT

Lien position field says "unsecured," or the property has been sold and the note wasn't satisfied. If the tape doesn't specify lien position, ask. No answer, assume the worst.

KILL 2

Statute of Limitations Expired

If the borrower hasn't paid in years and the statute of limitations (SOL) has run out in that state, your legal remedies are severely limited. You may not be able to foreclose, and the borrower knows it.

HOW TO SPOT IT

Take the last payment date. Add the state's SOL. If that date has already passed, kill it. If it expires within 12 months, extreme caution only.

QUICK SOL REFERENCE

STATE	SOL (YRS)	STATE	SOL (YRS)	STATE	SOL (YRS)
Georgia	6	Texas	4	Ohio	8
North Carolina	10	Florida	5	Pennsylvania	4
Alabama	6	Mississippi	6	California	4
New York	6	Indiana	6	Missouri	10

KILL 3

Underwater With No Path to Equity

Property value is less than the total debt. There's no equity cushion. Your only exits are a modification or short sale, both require full borrower cooperation, which you can't count on.

HOW TO CALCULATE

1st lien: Property Value ÷ UPB = coverage ratio. Under 1.0 = underwater.

2nd lien: (Property Value − Senior Payoff) ÷ UPB = coverage ratio. Zero or negative = kill.

KILL 4

Senior Lien Already in Foreclosure

If you're looking at a 2nd position note and the 1st lien holder has already initiated foreclosure, your position is about to be wiped out. The senior lien forecloses, your junior lien gets extinguished. You're buying nothing.

HOW TO SPOT IT

Senior status field shows "FC Initiated," "REO," or "120+ days delinquent." If the tape doesn't include senior status for 2nd liens, ask. This is non-negotiable information.

KILL 5

Missing Critical Data, and Seller Won't Provide It

No UPB. No lien position. No last payment date. If the seller can't or won't give you the basics, the tape isn't worth your time.

THE BARE MINIMUM YOU NEED

Loan number · Lien position · Verified UPB (not charge-off balance) · Property address · Last payment date / next due date · Senior lien balance (for 2nds)

💡 **Exception, missing address only:** A note without a property address isn't automatically dead. Sellers occasionally blind-pool assets for competitive reasons. If everything else checks out, UPB, lien position, payment history, state, you can sometimes work the deal and get the address confirmed before closing. Use judgment. A missing address with a cooperative seller is a yellow flag. A missing address plus missing UPB plus no payment history is a kill.

STEP 2, THE 4 NUMBERS

What Tells You 80% of the Story in 10 Seconds

You've passed the kills. Now read these four numbers in order. Together they tell you the deal's shape before you spend another minute on it.

NUMBER 01

1

LTV / CLTV

The single most important number in note investing.

1st lien LTV: UPB ÷ Fair Market Value

2nd lien CLTV: (Senior Balance + UPB) ÷ Fair Market Value

Under 65%	Strong equity position. Multiple exits work. This is where you want to be.
65% - 80%	Decent. Mod or DPO preferred, foreclosure gets tight once you factor in costs.
80% - 100%	Thin margin. You need a steep discount on purchase price to make it pencil.
Over 100%	Underwater. See Kill #3.

NUMBER 02

2

Your Discount (% of UPB)

What are you paying relative to what's owed?

Formula: Purchase Price ÷ UPB = % of UPB

<40% (1st NPN)	Good entry point on a first lien non-performer. Built-in margin of safety.
<25% (2nd NPN)	Standard market range for second lien non-performers.

>60% (any NPN)	Better have a very clear exit and a borrower who's already engaging.

NUMBER 03

Months Delinquent

How long since the borrower paid, and what it tells you about what's next.

3 - 12 mo	Fresh delinquency. Borrower may still engage. Mod or DPO are likely paths.
12 - 36 mo	Entrenched. Harder to re-engage, but still workable with the right approach.
36+ mo	Check SOL. Foreclosure timeline becomes critical. Borrower may be unreachable.
60+ mo	Red flag. Why hasn't the prior holder acted? Dig hard before bidding.

NUMBER 04

Property Value (FMV)

The floor under your investment. In a worst case, this is what you're recovering.

Seller FMV	Treat as directional, not gospel. Could be years old. Verify before you bid.
Recent BPO	More reliable. Check the date, anything older than 6 months needs a refresh.
No FMV	Run a quick Zillow/Redfin comp to decide if it's worth ordering a BPO at all.

💡 **Sanity check:** FMV minus foreclosure costs, minus rehab (if needed), minus selling costs = your realistic recovery floor. If that number is less than your purchase price, the deal doesn't pencil without borrower cooperation.

STEP 3, EXIT VIABILITY

Can You Actually Do Anything With This Note?

You've passed the kills. You've read the four numbers. Now, how does this deal resolve? Run through all four. **Minimum viable deal = at least 2 exits work.** One exit is a gamble. Two is a strategy. Three is a strong deal.

Loan Modification

2+ BOXES = VIABLE

- ☐ Borrower is owner-occupied (or was recently)?
- ☐ Enough equity that a reduced payment still makes sense for both sides?
- ☐ Months delinquent under 36, borrower might still engage?

Discounted Payoff (DPO)

2+ BOXES = VIABLE

- ☐ Equity exists, borrower has something worth protecting?
- ☐ Borrower likely has access to cash (employed, has assets, family support)?
- ☐ Your purchase price is low enough that a DPO at 50–70% of UPB still profits?

Foreclosure

ALL BOXES = VIABLE BACKSTOP

- ☐ SOL is good, not expired and not within 12 months of expiring?
- ☐ Property value covers purchase price + foreclosure costs + carrying costs?
- ☐ State foreclosure timeline is reasonable, not 3+ years?
- ☐ 1st lien position, OR 2nd with the senior lien current?

Note Sale / Flip

2+ BOXES = VIABLE

- ☐ Clean collateral file, original note, mortgage, recorded assignments?
- ☐ Title is clean or issues are known and documented?

- ☐ The note has a story another buyer would want (equity, cashflow potential)?

STEP 4, FLAGS

Not Deal-Killers. But Price Accordingly.

Red flags mean extreme caution or a skip. Yellow flags aren't automatic kills, but they affect your bid. Identify them before you submit anything.

RED FLAGS, SKIP OR PRICE AT ROCK BOTTOM

- Property taxes delinquent 2+ years (tax sale risk)
- Active bankruptcy, Chapter 13 ties your hands for 3–5 years
- Environmental contamination (USTs, known flood or hazard issues)
- Seller won't provide chain of title or recorded assignments
- "As-is, no reps and warranties" with zero supporting data
- Multiple prior note holders in a short period, hot potato loan

YELLOW FLAGS, NOTE THEM, PRICE THEM IN

- Vacant property, higher risk, but can mean easier foreclosure
- Investment property, less borrower motivation to negotiate
- Missing allonge or unrecorded assignment, fixable, but costs time and money
- Property taxes delinquent under 2 years, you'll need to advance
- Borrower in active loss mitigation, deal may stall in servicer transition
- Mobile home, check if it's real property vs. personal property
- Rural property, fewer comps, longer time on market for REO exit

THE FULL SEQUENCE

The 60-Second Workflow

Here's the exact order. Run it every time. On every line item. Time yourself until it's automatic.

5 sec	**Check lien position + data completeness** *Missing data or unsecured?* **KILL.**
10 sec	**Check SOL** *Expired or within 12 months?* **KILL.**
10 sec	**Calculate LTV / CLTV** *Underwater with no path?* **KILL.** *Senior in FC on a 2nd?* **KILL.**
15 sec	**Read the 4 numbers** *LTV, % of UPB, months delinquent, FMV. Get the deal's shape.*
15 sec	**Run exit viability check** *2+ exits viable?* **DIG.** *1 exit only? Price accordingly.* *0 exits?* **KILL.**
5 sec	**Scan for red / yellow flags** *Red flags?* KILL *or bid low. Yellow flags? Note for DD.*

Result: KILL → skip it and move on | DIG → run full due diligence | BID → you already love it, go now

PRINT THIS

The Tape Filter Cheat Card

Keep this next to your laptop. Run it in order.

CHECK	TIME	ACTION
Unsecured lien?	2 sec	KILL

SOL expired?	5 sec	KILL
Underwater + no equity path?	5 sec	KILL
Senior in FC? (2nd liens)	3 sec	KILL
Missing critical data?	5 sec	KILL
LTV / CLTV	5 sec	READ
% of UPB (your discount)	5 sec	READ
Months delinquent	5 sec	READ
FMV sanity check	5 sec	READ
2+ exit strategies viable?	10 sec	DIG or BID
Red / yellow flags?	5 sec	NOTE
TOTAL	~55 sec	KILL / DIG / BID

ONE MORE THING

The "Would I Buy This at 50 Cents?" Gut Check

After you've run the filter, ask yourself one question: **"If someone offered me this note at 50% of UPB right now, would I buy it?"**

HELL YES	You probably want it at your actual target price. Run full DD. Don't overthink it.
MAYBE	The numbers are tight. Make sure your entry price gives you real room for error, not just optimistic projections.
NO	Move on. If it's not exciting at 50 cents, it won't be exciting at 40 cents. The problem is the deal, not the price.

This isn't science. It's pattern recognition. The more tapes you work, the faster your gut calibrates, and the faster you sort gold from garbage.

AFTER THE FILTER

Your Next 5 Moves on Every DIG Deal

The filter gets you from 200 line items down to a handful worth your attention. Now run the same five moves every time, in this order.

MOVE 01

1

Pull County Records

Verify the tape story against public records before you spend a dollar.

→ Is the mortgage or deed of trust actually recorded?

→ Is the borrower still on title, or has the property changed hands?

→ Are there obvious lien issues, releases, or transfers you weren't told about?

→ For 2nds: does the senior lien look active and intact?

✏️ **Rule:** If public records contradict the tape, stop. Don't order a BPO, don't engage an attorney, don't spend another minute until the discrepancy is resolved.

MOVE 02

2

Validate the Value

Seller-provided values are marketing. Get your own opinion.

→ Pull recent sales comps nearby, same size, same condition range

→ Check property condition clues from photos, street view, or listing history

→ If the deal still looks good, order a BPO or desktop valuation

→ Refresh any value older than 6 months before you bid

✏️ **Rule:** Never bid based only on seller FMV. You're not looking for perfect certainty, you're making sure your equity story is real.

MOVE 03

3

Check the Borrower Story

The note's future depends on the borrower almost as much as the property.

→ Last payment date and total delinquency, confirmed, not tape-reported

→ Any payment history available from the servicer?

→ Any active workout, bankruptcy, foreclosure, or servicing notes on file?

→ Has the borrower shown any prior willingness to engage?

✏️ **Ask yourself:** "What's the most likely first conversation or first legal move on this file?" If you can't answer that, you don't understand the asset yet.

MOVE 04

4

Set Your Max Bid

Bid based on your worst acceptable outcome, not your best-case projection.

→ Start with realistic property value

→ Subtract foreclosure and legal costs

→ Subtract taxes, servicing advances, and any likely cleanup

→ Subtract your required profit margin

→ What remains is your **max bid**, then check if mod or DPO adds upside from there

✏️ **Write it down before you talk to the seller.** If they push higher, let the deal go. A deal that only works in the best case isn't a deal, it's hope wearing a spreadsheet.

MOVE 05

5

Submit a Clean Bid With Terms

Most buyers focus only on price. Operators know terms matter too.

A clean, professional bid gets taken more seriously than a sloppy "what do you want for it?" email. Know these before you submit:

- → **Price**, your number, not a range
- → **Collateral delivery timeline**, when you expect the file
- → **Contingencies**, subject to collateral review, title, or value refresh
- → **Proof of funds**, or a clear description of your funding path
- → **Closing timeline**, realistic and specific

✏️ **Have a bid template ready** so you're not reinventing the wheel every time a deal lands in your DIG pile.

BEFORE YOU CHASE DEAL FLOW

Build Your Buy Box First

A tape is useless if you don't know what you're looking for. Fill this out once. Refer to it every time you open a new tape. If you can't describe your buy box in 30 seconds, you're not ready for more deal flow.

TARGET STATES	LIEN POSITION
PERFORMING OR NON-PERFORMING	ASSET SIZE RANGE ($)
PROPERTY TYPES	OWNER-OCCUPIED / VACANT / EITHER

MAX CAPITAL PER DEAL ($)

FUNDING SOURCE

PREFERRED EXITS

HARD NO'S

Once your buy box is built, send it to us. We'll match you with deal flow that actually fits what you want.

Submit Your Buy Box →

Only if you have one built, don't guess.

YOUR NEXT MOVE

Take Notes Capital

A community-first note investing business. We buy mortgage notes, create cashflow, and help investors find deals that match their buy box, with real property backing every dollar.

GOT YOUR BUY BOX BUILT? LET'S TALK DEAL FLOW.

> Come with your buy box filled out and we'll map out where to find deal flow that fits, which custodians or funding sources make sense for your situation, and what your first bid should look like.
>
> 📅 **Book a Free Strategy Call** → calendly.com/ajdent-tnc/30min

OTHER FREE GUIDES

📥 **"7 Ways to Earn Passive Income with Mortgage Notes"**, The full strategy breakdown for investors who are new to notes

📥 **"Note Investing vs Rentals: The Honest Math Comparison"**, Same $30K. Different results. See the numbers side by side.

📥 **"How to Invest Your IRA in Mortgage Notes"**, Step-by-step SDIRA setup guide for retirement capital

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